HOTEL BACK OFFICE - FINANCE SYSTEM REQUIREMENTS DOCUMENTATION

Comprehensive Module Specification for Software Development Team

Module Ref	Section Name	Category / Type	Functional Scope & Requirements	Key System Outputs
1.0	Hotel Department Structure	Organizational Hierarchy	Defines Revenue Generating & Support/Expense Centers across 6 core departments.	Cost Center Mapping, Departmental Hierarchies
2.0	Revenue Flow Model	Revenue & Cash Flow	PMS & POS integrations, Revenue segregation, AR Ledger, Payment collection, Bank settlement, GL Posting.	Daily Revenue Summary, Segregated Revenue GL Entries, AR Ledger
3.0	Procurement to Payment Flow	Expense & AP Flow	Requisition, Multi-level Approval, PO issuance, GRN inspection, Inventory issue, Vendor Invoice 3-way match, AP Posting, Bank Rec.	3-Way Match Verification, AP Aging, Bank Reconciliation Statement
4.0	Chart of Accounts (COA)	Financial Architecture	Standardized 7-digit Account Coding Structure (1xxxxx Assets to 7xxxxx Other Expenses).	Structured General Ledger, Balance Sheet & P&L Mapping
5.0	Key Financial Reports	Reporting & BI	Real-time and month-end financial report generation engines.	Daily Revenue, Dept P&L, Budget vs Actual, Cash Flow, BS, GL, AR/AP Aging
6.0	System Integration Overview	Data & Architecture	Central Database integration connecting PMS, POS, Store, Finance, and Management Reporting.	Unified Ledger Data, Real-Time Interfaces, Strong Audit Trail
7.0	Important Controls	Governance & Audit	Segregation of Duties, Approval Limits, Budget Controls, Inventory Locks, Month-End Lockout.	Audit Logs, Compliance Tracking, Exception Alerts
8.0	Data Capture & Master Setup	Master Data	Centralized master data setup for Customer, Vendor, Items, COA, Cost Center, Tax, Bank, Employee.	Clean Master Data Records, Validation Rules
9.0	System Benefits	Business Value	Accurate revenue recognition, inventory control, real-time insights, compliance, faster month-end close.	Executive Dashboards, Operational Efficiency

1. HOTEL DEPARTMENT STRUCTURE & COST CENTER MAPPING

Dept ID	Department Name	Classification	Sub-Department / Cost Center	Key Functions & Operations	Finance / Accounting Impact
1.1	Rooms Department	Revenue Generating	Front Office	Room Sales, Reservations, Check In/Out, Billing, Night Audit, Cashiering	Direct Room Revenue, Guest Ledger, City Ledger, Advance Deposits, City Tax/VAT
1.2	Rooms Department	Support / Expense Center	Housekeeping	Room Cleaning, Laundry (Guest), Amenities, Linen, Public Area Cleaning, Lost & Found	Guest Laundry Revenue, Linen Expense, Guest Supplies Expense, Chemical Inventory
2.1	F&B Department	Revenue Generating	Restaurants	Food Sales, Beverage Sales, Table Service, Restaurant Billing & Cashiering	Food/Bev Revenue, Covers tracking, Discounts, Service Charge, F&B Cost of Sales
2.2	F&B Department	Revenue Generating	Coffee Shops / Outlets	Food Sales, Beverage Sales, Counter Service, Outlet Billing	Daily Outlet Revenue, Cash/Card Settlement, Stock Consumption
3.1	A & G Department	Support / Expense Center	General Manager Office	GM Office Expense, Executive Representation, Strategic Meetings, Corporate Legal	Administrative Overhead, Executive Travel & Legal Expenses
3.2	A & G Department	Support / Expense Center	Finance & Accounting	Accounting, Payables, Receivables, Treasury, Financial Reporting, Audit, Bank Charges	Core Ledger Management, AP/AR Controls, Bank Charges, Audit Fees
3.3	A & G Department	Support / Expense Center	Human Resources	Recruitment, Payroll, Training, Staff Welfare, Uniforms, HR Expenses	Payroll Liabilities, Employee Allowances, EOSB Provisions, Staff Welfare Expense
4.0	Maintenance Department	Support / Expense Center	Engineering & Maintenance	Preventive Maintenance, Repairs, Equipment Upkeep, Pest Control, Tools, Contracts	Repairs & Maintenance Expense, Capital Work in Progress (CWIP), AMCs
5.0	Sales & Marketing	Support / Expense Center	Sales & Marketing	Corporate Sales, Banquet Sales, Reservations, Advertising, Promotions, TA Commissions	Marketing Expense, OTA/TA Commission Expense, Banquet Advance Deposits
6.0	Utilities Department	Expense Center	Utilities & Energy	Electricity, Water, Gas, Telephone / Internet, Waste Management, Other Utilities	Utility Expenses, Monthly Accruals, Meter Reading Allocations

2. REVENUE FLOW MODEL & INTERFACE SPECIFICATIONS

Step #	Process Stage	Source / Sub-System	Detailed Functional Description	Accounting & GL Posting Impact	Control & Validation Rules
2.1	Point of Sale Entry	PMS (Front Office) / POS (Outlets)	Capture room charges, food/beverage billing, extra service charges, and guest reservations.	Generates transactional sales records at source.	Mandatory billing per guest/table; auto-calculate taxes.
2.2	Revenue Interface	Daily Interface Bridge	Batch or real-time daily interface transfer of transactional data from PMS/POS into Finance System.	Pending staging table creation before GL audit posting.	Reconcile total PMS night audit balance with interface file.
2.3	Revenue Segregation	Finance Revenue Engine	Categorizes total daily revenue into Room Rev, F&B Rev, Other Rev, Discounts/Allowances, and VAT Payable.	Credit Revenue Accounts, Credit VAT Payable, Debit Staging/Guest Ledger.	Ensure system enforces zero balance check (Debits = Credits).
2.4	Receivables (AR)	AR Sub-module	Splits receivables into Guest Ledger (In-house), City Ledger (Corporate/TA Credit), and Deposit Ledger.	Debit Guest Ledger / City Ledger Control Accounts.	Credit limit checks for corporate accounts before posting.
2.5	Payment Collection	Front Desk / Cashier / POS	Collect payment via Cash, Credit Card, Electronic Transfer, or Credit/City Ledger billing.	Debit Cash in Hand, Credit Card Clearing , or AR City Ledger.	Shift end cashier drop reconciliation against physical cash/slips.
2.6	Bank / Cash Settlement	Treasury & Banking	Deposit cash into bank accounts, clear credit card merchant settlements, track bank in transit.	Debit Bank Accounts , Credit Cash in Transit / Card Clearing .	Automated daily bank feed import and merchant slip matching.
2.7	Revenue Recognition	Finance General Ledger	System verifies revenue criteria per department/outlet and commits revenue entries.	Final GL Credit Posting to (Revenue Accounts).	Night audit lock — prevents backdated postings.
2.8	GL Posting	General Ledger Engine	Automated double-entry posting to consolidate daily financial records into General Ledger.	Updates balance sheet & income statement in real time.	Balanced entry validation rule (Total Debits == Total Credits).

3. PROCUREMENT TO PAYMENT (P2P) EXPENSE FLOW

Step #	Process Stage	Responsible Unit / Role	System Process & Action Required	Financial / Inventory Impact	Controls & Key Rules
3.1	Purchase Requisition (PR)	Department Head	Create digital requisition for goods, services, or stock replenishment.	No financial impact (Operational request).	Budget availability check; block PR if department budget exceeded.
3.2	Approval Workflow	Dept Head / GM / Finance	Multi-tiered electronic approval routing based on authorization thresholds.	No financial impact.	Enforce delegation of authority (DOA) matrix.
3.3	Purchase Order (PO)	Procurement Department	Generate official PO and dispatch electronically to approved vendor.	Encumbrance / Commitment logged against budget.	System locks unit prices against vendor quotation.
3.4	Goods Receipt Note (GRN)	Receiving / Storekeeper	Physical inspection, quality check, and quantity recording against active PO.	Debit Inventory Staging / Received Not Invoiced (RNI).	System prevents over-receiving beyond PO tolerance (+/- 2%).
3.5	Inventory / Store Entry	Store Manager	Goods transferred to Central Store; update item stock master and valuation (FIFO/Weighted Avg).	Debit Store Inventory Account (12xxxx).	Real-time perpetual inventory update.
3.6	Store Issue & Consumption	User Dept / Kitchen	Issue stock to operating departments (e.g., Kitchen, Housekeeping) based on approved requisitions.	Debit Expense/Cost of Sales (5xxxxx/6xxxxx), Credit Store Inventory (12xxxx).	Daily/Weekly automated cost of sales calculation.
3.7	Vendor Invoice Entry	Accounts Payable (AP)	Input vendor tax invoice into AP system and perform automated 3-Way Match (PO vs GRN vs Invoice).	Debit Received Not Invoiced (RNI), Debit VAT Input (14xxxx), Credit AP Vendor (21xxxx).	3-Way Match tolerance check; mandatory tax invoice validation.
3.8	AP Liability Creation	Accounts Payable (AP)	Validate vendor invoice details, verify tax compliance (TRN/VAT), and schedule payment maturity.	Finalize Vendor Liability in AP Ledger (21xxxx).	Duplicate invoice number check across vendor master.
3.9	Payment Run	Treasury / Finance Manager	Process vendor payment via Cash, Cheque, or Bank EFT / Wire Transfer based on payment terms.	Debit AP Vendor (21xxxx), Credit Bank / Cash Account (11xxxx).	Dual authorization required for electronic funds transfer.
3.10	Bank Reconciliation	Finance / Treasury	Import electronic bank statement and match payments against uncleared checks/transfers.	Clear Bank in Transit; update Cash/Bank book balance.	Automated reconciliation matching rules based on Ref # and Amount.
3.11	GL Expense Posting	General Ledger Engine	Consolidate all P2P transactions and post final balanced entries to GL.	Updates Operating Expenses (6xxxxx) and Cost of Sales (5xxxxx).	Period-end posting lock after AP sub-ledger closing.

5. KEY FINANCIAL REPORTS & REPORTING SPECIFICATIONS

Report Name	Frequency	Target Audience	Key Data Elements Included		System Calculation / Logic Engine
Daily Revenue Report (Flash)	Daily	GM, Finance Manager, Owners	Room Night Occupancy, ADR, RevPAR, Food Sales, Bev Sales, Outlet Breakdowns, Tax Collected		Pulls real-time interface data from PMS and POS; compares against budget/LY.
Departmental P&L Report	Monthly	Department Heads, Finance	Departmental Revenues, Direct Cost of Sales, Direct Payroll, Operational Expenses, Dept Net Margin		USALI (Uniform System of Accounts for the Lodging Industry) standard format allocation.
Budget vs. Actual Variance	Monthly	GM, Department Heads, Finance	Actual Spend, MTD/YTD Budget, Variance ($ and %), Commitments, Forecasted End-of-Year		Compares posted GL entries against pre-loaded fiscal budget tables.
Cash Flow Report	Daily / Weekly / Monthly	CFO, Finance Director, Treasury	Operating Cash Inflows, Cash Outflows, Net Cash Position, Bank Balances, Projected 30-day Cash Flow		Direct and Indirect method calculation based on bank activity and AP/AR projections.
Balance Sheet	Monthly / Yearly	CFO, Owners, External Auditors	Assets (Current & Non-Current), Liabilities (Current & Long-term), Equity & Retained Earnings		Aggregates end-of-period closing balances of Account Classes 1xxxxx, 2xxxxx, 3xxxxx.
General Ledger Report	Real-Time / On-Demand	Finance Team, Auditors	Transaction Date, GL Code, Description, Source Module, Reference #, Debit Amount, Credit Amount, Running Balance		Full detailed listing of all posted journal vouchers and interface logs.
Accounts Receivable (AR) Aging	Weekly / Monthly	AR Manager, Credit Controller	Customer Name, Current, 1-30 Days, 31-60 Days, 61-90 Days, 90+ Days Overdue, Unapplied Credits		Ages unapplied customer invoices based on invoice date or payment terms.
Accounts Payable (AP) Aging	Weekly / Monthly	AP Manager, Treasury	Vendor Name, Invoice Date, PO Reference, Payment Due Date, Current, 1-30, 31-60, 60+ Days		Ages outstanding vendor liabilities and highlights payment discount eligibility.

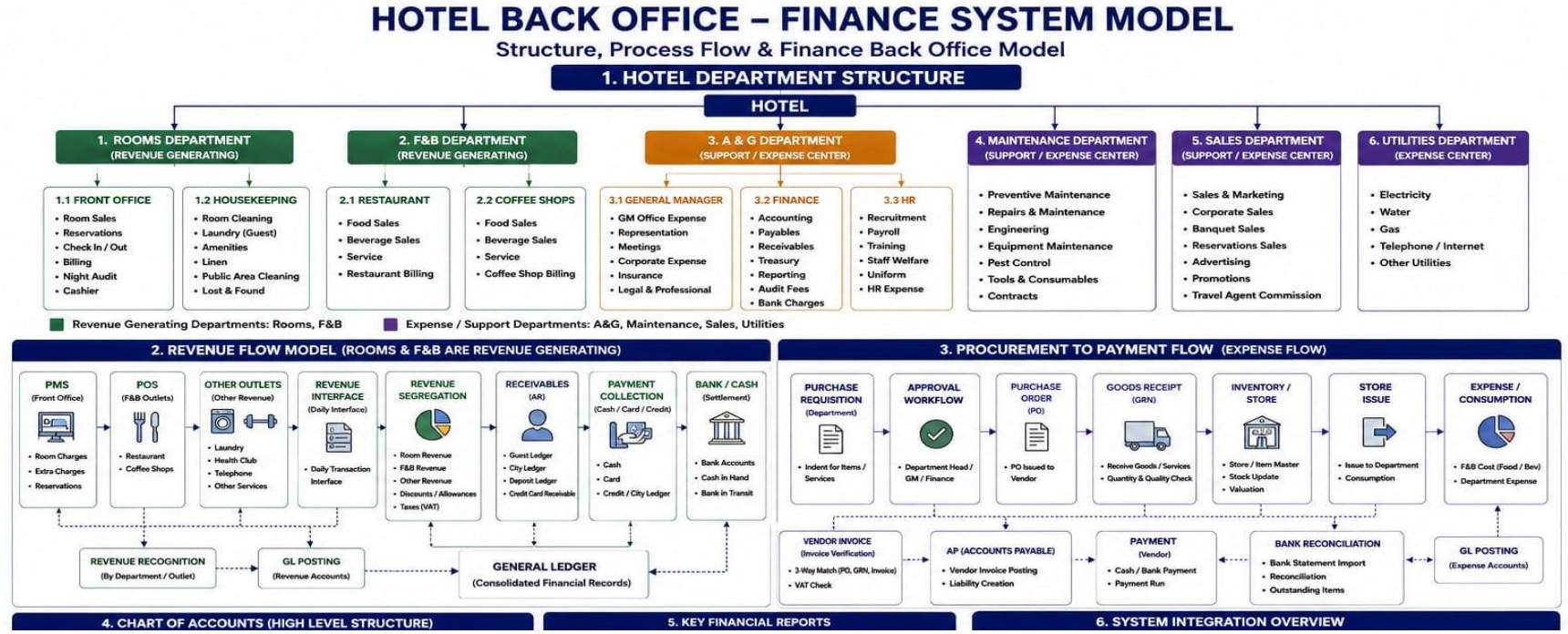
6. SYSTEM INTEGRATION & DATA ARCHITECTURE OVERVIEW

Source System	Target System	Integration Type	Frequency	Data Exchanged	Technical Mechanism / Validation
PMS (Front Office)	Finance (Back Office)	1-Way Push / Automated Scheduled	Daily / Real-Time	Room Revenues, Guest Ledger Balances, City Ledger Transfers, Tax Accruals, Advance Deposits	REST API / Automated JSON Payload with batch checksum validation.
POS (F&B Outlets)	Finance (Back Office)	1-Way Push / End-of-Day	Real-Time per Transaction	Food & Beverage Sales, Cash Drop, Card Payments, Room Charges (Post to PMS), Service Charge	Webhooks / Direct API Call on bill settlement.
POS (F&B Outlets)	Inventory / Store	2-Way Integration	Real-Time / Batch	Recipe Recipe Depletion, Menu Item Sales, Stock Availability Check	Automated stock deduction based on standard recipes (BOM).
Inventory / Store	Finance (Back Office)	Direct Internal Integration	Real-Time	Goods Received Notes (GRN), Store Issue Vouchers, Stock Adjustment Journal, COGS Allocation	Database Triggers / Internal Application Service.
Finance (Back Office)	Reporting (Management)	Direct Query / BI Feed	Real-Time / On-Demand	General Ledger Balances, AR/AP Sub-ledgers, Budget Tables, Revenue Summaries	SQL Views / Analytical Data Mart Query Engine.

7, 8 & 9. CONTROLS, MASTER DATA SETUP & SYSTEM BENEFITS

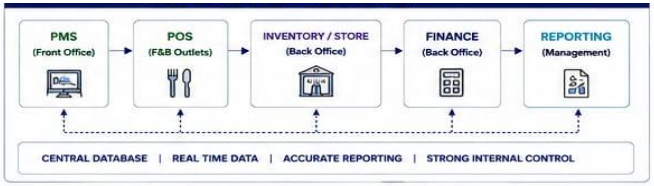
Category	Feature / Master / Requirement	Detailed System Specifications	Implementation & Software Rules
Important Controls	Segregation of Duties (SoD)	System must enforce separation between PR Requester, Approver, Receiver (GRN), and Payment Processor.	Role-based access matrix; prevent users from approving their own entries.
Important Controls	Approval Workflows & Limits	Configurable multi-tier approval rules based on amount thresholds for POs, Payments, and JVs.	Automated email notifications and approval routing.
Important Controls	Budget Control by Dept	Real-time checking of purchase requisitions against available monthly departmental budget.	Soft warning or hard block when requisition exceeds remaining budget.
Important Controls	Inventory Controls	Maintain Min/Max stock levels, enforce mandatory physical stock count reconciliation, support FIFO valuation.	System flags variance between physical count and book balance.

Important Controls	VAT Compliance & Reporting	Automated calculation of output tax (sales) and input tax (purchases) per local tax authority regulations.	Tax Invoice generation with mandatory TRN/VAT registration numbers.
Important Controls	Bank Rec & Cash Control	Electronic import of bank statements and auto-matching with GL transactions.	Highlight uncleared cheques, bank charges, and unallocated deposits.
Important Controls	Month-End Closing & Review	System period locking mechanism preventing posting into closed financial periods.	Sequential closing checklist: Sub-ledgers close first, then GL.
Important Controls	Audit Trail & Access Control	Comprehensive system logging of every create, edit, delete, or override operation.	Non-editable audit logs with User ID, Timestamp, IP Address, and Old/New Values.
Master Data Setup	Customer / Guest Master	Store guest profiles, corporate billing accounts, credit limits, tax ID, payment terms.	Validation rules for unique Tax ID / Commercial Register.
Master Data Setup	Vendor / Supplier Master	Store vendor company details, bank payment info, payment terms, VAT registration, rating.	Mandatory approval before new vendor activation in P2P flow.
Master Data Setup	Items / Inventory Master	Item master with SKUs, barcode, unit of measure (UOM), storage temperature, recipe mapping.	Categorization into Food, Beverage, Cleaning, Engineering, Operating Equipment.
Master Data Setup	Chart of Accounts Master	Configurable multi-level COA with account status (Active/Inactive) and debit/credit natural balances.	Structure enforcement (1xxxxx to 7xxxxx).
Master Data Setup	Department / Cost Center	Mapping of hierarchy levels: Hotel -> Division -> Department -> Sub-Department / Cost Center.	Required field on all expense requisitions and postings.
Master Data Setup	Tax / VAT Setup	Define standard VAT rates, exempt rates, zero-rated codes, and reverse charge setups.	Automatic lookup based on transaction type and tax jurisdiction.
Master Data Setup	Bank Master	Configurable master for bank accounts, branch codes, IBAN, swift codes, credit card merchant IDs.	Linked directly to GL control accounts.
Master Data Setup	Employee Master	Employee records linked with department, salary structure, designation, and user authorization role.	Integration with HR/Payroll module for labor cost distribution.
System Benefits	Accurate Revenue Recognition	Eliminates manual entry errors between PMS/POS and Finance; ensures USALI compliance.	Automated daily interface balance verification.
System Benefits	Complete Cost & Inventory Control	Prevents stock leakage, over-purchasing, and tracks real-time cost of sales margins.	Real-time cost tracking against food & beverage menus.
System Benefits	Real-Time Financial Info	Instant access to executive dashboards, daily revenue, and cash positions.	No waiting for month-end to see financial performance.
System Benefits	Faster Month-End Closing	Automated reconciliations and sub-ledger postings reduce closing time from weeks to days.	Standardized closing workflows and automated GL entries.



1xxxxx	ASSETS	Cash, Bank, Receivables (Guest, City), Inventory, Prepaid, Fixed Assets, Deposits, Advances
2xxxxx	LIABILITIES	Payables, Accruals, Provisions, Employee Liabilities, Taxes (VAT Payable), Loans, Deposits
3xxxxx	EQUITY	Capital, Retained Earnings, Current Year Profit / Loss
4xxxxx	REVENUE ACCOUNTS	Room Revenue, F&B Revenue, Other Operating Revenue, Laundry, Health Club, Other Income
5xxxxx	COST OF SALES	Food Cost, Beverage Cost, Laundry Cost, Other COS (By Department / Outlet)
6xxxxx	OPERATING EXPENSES	Rooms Expense, F&B Expense, A&G Expense, Maintenance Expense, Sales Expense, Utilities
7xxxxx	OTHER INCOME / EXPENSES	Other Income, Finance Costs, Depreciation, Miscellaneous Expenses





7. IMPORTANT CONTROLS

- Segregation of Duties (Request, Approval, Receive, Pay)
- Approval Workflows & Authorization Limits
- Budget Control by Department
- Inventory Controls (Min / Max, Stock Count, Valuation)
- VAT Compliance & Reporting
- Bank Reconciliation & Cash Control
- Month End Closing & Review
- Audit Trail & User Access Control

8. DATA CAPTURE & MASTER SETUP



9. BENEFITS OF THE SYSTEM

- Accurate Revenue Recognition (Rooms, F&B, Other Revenue)
- Complete Control on Expenses & Inventory
- Real Time Financial Information
- Department-wise Profitability Analysis
- Strong Internal Control & Audit Compliance
- Faster Month End Closing
- Better Cash Flow Management

LEGEND

- Revenue Generating
- Expense / Support
- Process Flow
- System Posting / Interface
- Department Structure